TIMOTHY JOHN SCHULTZ

VS

MINISTER OF JUSTICE, LEGAL AND PARLIAMENTARY AFFAIRS

AND

CHIEF REGISTRAR OF COMPANIES

AND

MINISTER OF FINANCE, ECONOMIC DEVELOPMENT, AND INVESTMENT PROMOTION

HIGH COURT OF ZIMBABWE
MPOKISENG DUBE J
BULAWAYO, 12 MARCH 2026

Urgent Court application for a Declarator

Adv M.E.P. Moyo, for the applicant
S. Jukwa, for the respondents

Introduction.

MPOKISENG DUBE J: The applicant herein brought forth an application for declaratory relief in terms of Sec 14 of the High Court Act [*Chapter 7.06*], seeking relief couched in the following terms:

1. It is declared that Statutory Instrument 108 of 2025, purporting to extend the re-Registration period of companies and private business corporations to 20 April 2026 is invalid and of no force or effect.

2. It is declared that all companies that did not reregister by the 13th of February 2025, which is the date set by Parliament in the Act, are, in terms of section 303 (12) duly stricken off by operation of law.

3. Costs of suit on an attorney-client scale if any respondent opposes the application.

Brief facts

The applicant avers that he is an individual who is standing trial at Plumtree Regional Court under case number PTR122/25. He does not disclose the nature of the charges he is facing. Neither does he disclose his purported defence. He does not name his accuser in the matter. His gripe, however, is that "a defunct company purports to be a complainant."

The crux of his contention, verbatim, is as follows;

"6. On or about the 29th of September 2025, the First Respondent promulgated Statutory Instrument 108 of 2025 ("the SI"), purporting to extend the period for re-registration of companies and private business corporations under the Act to 20 April 2026.

7. The SI is stated to have been made "in terms of section 303 of the Act."

8. However, section 303 does not confer upon the Minister any current power to extend the re-registration period by statutory instrument.

9. Section 303(9) of the Act required companies and PBCs existing before the effective date (13 February 2020) to re-register within 12 months.

10. The deadline was later extended by Parliament, through the Finance Act No. 8 of 2020, to 13 February 2023.

10.1 Section 303(22) of the Act initially authorised the Minister to make transitional regulations, but expressly limited this power to 24 months from the effective date. That power therefore expired in February 2021. The Act had a sunset clause on the matter and the sun duly set on the matter on 13th February 2022.

10.2 After the expiry of subsection (22), the Minister had no residual authority under section 303 to extend deadlines. Only Parliament could alter the re-registration period by amending the Act." (sic)

Having said that, the applicant contends that "*the Sl is ultra vires the Act in that Section 303 does not confer power on the Minister to extend re-registration periods."*

With this background, the applicant avers that his accuser falls within the category of companies that derive their existence from such extension of registration periods and thus a nullity.

Quite conspicuously, the applicant does not name this company, nor does he cite it. He does not attach an extract of the allegations against him, or at least the summary jurisdiction of the case pending against him in Plumtree Magistrates Courts. He is quite happy to keep that information and the identity of his accusers in the shadows.

The respondents opposed his application mainly through the 1st respondent the Minister of Justice, Legal and Parliamentary Affairs. He basically concedes that he acted ultra vires the enabling law. He prays for a suspended declaration of the ultra vires nature of his action and prays for an extension of 90 days within which to put its house in order. The 1st respondent however pleads that all that he did was in the interest of the national economy to remain functioning by way of averting mass company de-registrations. He argues that the situation

was brought about by the interruptions caused by the COVID 19 pandemic which coincided with a migration from physical filing to electronic filing of company-related processes.

The applicant takes note of the impassioned plea by the 1st respondent but pressed ahead with its prayer for an immediate declaration of nullity.

Again, quite conspicuously, the applicant does not say he owns a company that is being prejudiced by such a state of affairs. His only interest as manifested by his papers is to rid his accuser in a criminal matter of its existence. In other words, if this court grants him the relief, he seeks his accuser would be indirectly and in a blanket manner deemed non-existent.

Juxtaposing these facts against the relevant Law

As far as declaratory reliefs are concerned, the court is guided by Section 14 of the High Court Act [*Chapter 7:06*] as alluded to earlier on, which provides as follows;

> "High Court may determine future or contingent rights, The High Court may, in its discretion, at the instance of any interested person, inquire into and determine any existing, future or contingent right or obligation, notwithstanding that such person cannot claim any relief consequential upon such determination"

The approach in our jurisdiction (and in South Africa) can be gleaned from a plethora of cases.

In the case of *RK Footware Manufactures Pvt Ltd* v *Boka Book Sales 1986 (2) ZRL* 209 SANDURA JP as he was then held and commented as follows:

> *"*The court has to identify two considerations that the court has to look at when determining whether or not to issue a declaratory order. He stated that the court had to consider whether the applicant was an interested person in an existing future of contingent right of obligation and secondly whether the case was a proper one for the court to exercise its discretion."

In the case of *Recay Investments (Pvt) Ltd* v *Tarcon 2011(2) 2LR 65(H)* the court held that;

> *"*For a declaratory order to succeed there are certain conditions to be met. This means that if the applicant fails to meet one or both of the conditions the court has to use its discretion to either grant or dismiss this order."

In the case of *Johnson* v *AFC* 1995(1) ZLR 65 (S) it was held that:

> "The condition precedent to the grant of a declaratory order under section 14 of the High Court of Zimbabwe Act 1981 is that the applicant must be an "interested person", in the sense of having a direct and substantial interest in the subject matter of the suit

> which could be prejudicially affected by the judgment of the court. The interest must concern an existing, future or contingent right. The court will not decide abstract, academic or hypothetical accessions unrelated thereto. But the presence of actual dispute or controversy between the parties interested is not a pre-requisite to the exercise of jurisdiction."

In *Munn Publishing (Pvt) Ltd v Zimbabwe Broadcasting Corporation* 1994 (1) ZLR 337 (S) GUBBAY CJ (as he then was) pronounced the remedy available in terms of section 14 of the High Court Act [*Chapter 7:06*].The learned Chief Justice had this to say,

> "The condition precedent to the grant of a declaratory order is that the applicant must be an interested party, in the sense of having a direct and substantial interest in the subject matter of the suit which could be prejudicially affected by the judgment of the court. See *United Watch & Diamond Company (Pty) Ltd & Ors* v *Disa Hotels Ltd & Anor* 1972 (4) SA 409 ®at 415; *Milani & Anor v South African Medical & Dental Council & Anor* 1990 (1) SA 899 (T) at 902G-H. The interest may relate to an existing future or contingent right. The court will not decide abstract, academic or hypothetical questions unrelated to such interest. See *Anglo-Transvaal Collieries Ltd* v *S A Mutual Life Assurance Soc* 1977 (3) SA 631 (T) at 635G-H. But the existence of an actual dispute between persons interested is not a statutory requirement to the exercise by the court of jurisdiction. See Ex parte Nell 1963 (1) SA 754 (A) at 759-760A. Nor does the availability of another remedy render the grant of a declaratory order incompetent. See *Gelcon Investments (Pvt) Ltd* v *Adair Properties (Pvt)* 1969 (2) RLR 120 (G) at 128A-B; 1969 (3) SA 142 ® at 144D-F

In *casu* the question exercising this court's mind is whether or not the applicant herein "*is an interested party, in the sense of having a direct and substantial interest in the subject matter of the suit which could be prejudicially affected by the judgment of the court?"*

I am of the respectful view that the applicant lacks such interest. If anything, his is a disingenuous ploy to forestall his trial. This court unfortunately for him, can not come to his rescue by eliminating his accusers rightly or wrongly so. It is not the type of direct and substantial interest the legislature had in mind. That is more so when the applicant does not take the court into his confidence to disclose the exact nature of the charges he is facing and his probable defence. It is quite self-serving and self-righteous of him to crown himself "*a law-abiding citizen*" when he is not forthright with the court.

In any event the applicant deliberately shied away from citing the corporate entity that is accusing him. He deliberately wants the court to pull the curtain on his accusers without them being heard. The consequence of non-joinder in the present matter is obviously predicated towards denying such body an opportunity to speak for itself. The prejudice is there for anyone to see.

In the matter of *Marai and Anor v Pongola Sugar Milling Co. and Ors 1961 (2) SA 698 N* the court applied a two-tier approach in the determination of a joinder issue viz;

1. That a party must have a direct and substantial interest in the issues raised in the proceedings.
2. That his right may be affected by the judgment of the court"

Clearly, in the present matter the corporate entity whose accusations the applicant is trying to extricate himself from would be adversely prejudiced by a declaration of its nullity without being heard.

It is for that reason that this court is of the view that the applicant is not suited for the relief he seeks and refuses to exercise its discretion in his favour as envisaged by section 14 of the High Court Act.

Disposition

In the foregoing the application be and is hereby dismissed with costs.

Butshe and Associates, applicant's Legal Practitioners
Office of the Attorney-General, Civil Division, respondents' Legal Practitioners